



PRESS RELEASE

- ***H1 2017 Revenues increased 5.0% to KES1.26 billion from KES1.20 billion in H1 2016***
- ***The gross profit for H1 2017 dropped by 3.0% to KES 432 million, compared to gross profit of KES 448 million in H1 2016.***
- ***H1 2017, total comprehensive income dropped 4.3% to KES67.7 million, from KES70.7 million in H1 2016***

Nairobi August 25 2017 – Diversified manufacturer and trading Group, Flame Tree Group (NSE: FTGH) today reported a 5.0% increase in revenues for the 6 month period ended June 30th 2017 driven by growth in the manufacturing division of the business. The gross profit margins decreased by 3.0% from a similar period margin of 37.1%, the Group's gross profit was KES 432.1 million.

Overall expenses reduced by c. KES 14.0 million compared to H1 2016, largely impacted by a KES 8 million decrease in administrative expenses to KES 114.7 million. Profit before tax dropped 7% to KES 78.9 million as the rise in revenues were more than offset by higher cost of credit and operating expenses. Provision for tax increased from KES 4.3 million H1 2016 to KES 12.3 million. As a result of these factors, profit after tax declined 4.3% from KES 70.7 million in H1 2016 to KES 67.7 million, representing earnings per share of KES 0.41.

According to Mr. Heril Bangera, CEO Flame Tree Group “We continue to see progressive improvement in net sales as we make progress towards the transformation of the Group. I am pleased with our H1 2017 results and our year-to-date performance is progressing in line with expectations. Revenues for the half year increased 5% operationally, excluding the unfavorable impacts of foreign exchange and continued challenges experienced with some of the leading retailers, the manufacturing vertical revenues posted a 3% growth while the trading vertical grew by 11% in the period.”

For a copy of Flame Tree Group's financial statements, please visit www.flametreegroup.com.

About Flame Tree Group

Flame Tree is a leading regional manufacturing Group – listed on the Nairobi Securities Exchange (NSE: FTG) – with operations in Mauritius, Kenya, Rwanda, Ethiopia, Dubai and Mozambique. It operates in fmcg, plastics and trading, with a brand portfolio that includes Roto Tanks, Jojo Plastics, Zoe, Cerro, Alana Skin, Suzie Beauty, Happy's and Buildmart. It was founded in 1989 and



now employs over 1,000 people, who are focused on delivering quality, value and innovation to improve their customer's lives.

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Audited Financial Results as at 30 June 2017

CONSOLIDATED STATEMENT OF PROFIT OR LOSS and OTHER COMPREHENSIVE INCOME

	As at 30 June 2017 Shs	12 months to 31 December 2016 Shs	As at 30 June 2016 Shs
Revenue	1,260,489,157	2,544,628,524	1,202,089,149
Cost of Sales	(828,443,235)	(1,640,312,183)	(753,268,442)
Gross Profit	432,045,922	904,316,341	448,820,707
Other operating income	2,173,368	5,412,643	2,594,829
Selling and distribution costs	(176,051,633)	(329,112,443)	(175,204,317)
Administrative expenses	(114,672,411)	(297,491,883)	(123,335,764)
Other operating expenses	(18,788,835)	(45,267,509)	(24,905,378)
Operating profit before gain on disposal of PPE	124,706,411	237,857,149	127,970,077
Gain on disposal of PPE	(2,110,842)	837,365	782,620
Operating profit after gain on disposal of PPE	122,595,569	238,694,514	128,752,697
Finance costs	(43,733,080)	(62,719,621)	(43,771,777)
Profit before tax	78,862,489	175,974,893	84,980,920
Tax	(12,368,890)	(30,994,408)	(4,452,608)
Profit for the year	66,493,599	144,980,485	80,528,312
Other comprehensive income:			
Items that may be reclassified subsequently to profit or loss:			
Exchange differences on translation of foreign operations	1,244,990	(7,735,562)	(9,814,609)
Total comprehensive income for the year	67,738,589	137,244,923	70,713,703
Earnings per share	0.41	0.90	0.50

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	As at 30 June 2017 Shs	12 months to 31 December 2016 Shs	As at 30 June 2016 Shs
Assets			
Non-current assets	402,986,684	380,779,799	366,458,404
Current assets	1,155,067,871	1,140,414,966	1,055,776,490
Total Assets	1,558,054,555	1,521,194,765	1,422,234,894
Shareholders' funds and liabilities			
Share capital	133,540,084	133,540,084	133,540,084
Share premium	152,450,453	152,450,453	152,450,453
Legal reserves	3,665,461	3,665,461	3,665,461
Retained earnings	457,689,168	391,195,569	372,441,884
Translation reserve	39,560,225	38,315,235	36,236,188
Shareholders' Funds	786,905,391	719,166,802	698,334,070
Current liabilities	693,873,998	745,102,050	600,086,621
Non-current liabilities	77,275,165	56,925,913	123,814,203
Total Shareholders' Funds and liabilities	1,558,054,554	1,521,194,765	1,422,234,894

CONSOLIDATED STATEMENT OF CASH FLOWS

	6 months to 30 June 2017 Shs	12 months to 31 December 2016 Shs
Operating activities		
Net cash from operating activities	49,117,858	39,908,812
Net cash (used in) investing activities	(30,355,530)	(124,503,569)
Net cash (used in) financing activities	13,153,123	(20,877,782)
Increase/(Decrease) in cash and cash equivalents	31,915,451	(105,472,539)
Movement in cash and cash equivalents		
Cash and cash equivalents at 1 January	(101,713,065)	13,684,023
Increase/(Decrease) in cash and cash equivalents	31,915,451	(105,472,539)
Effect of exchange rate changes	(4,704,583)	(9,924,549)
Cash and cash equivalents at 31 December	(74,502,197)	(101,713,065)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Shs	Share Premium Shs	Legal Reserves* Shs	Retained Earnings** Shs	Translation Reserve*** Shs	Total Equity Shs
Year ended 31 December 2016						
At start of year	133,540,084	152,450,453	3,665,461	246,215,084	46,050,797	581,921,879
Total comprehensive income for the year	-	-	-	144,980,485	(7,735,562)	137,244,923
At end of year	<u>133,540,084</u>	<u>152,450,453</u>	<u>3,665,461</u>	<u>391,195,569</u>	<u>38,315,235</u>	<u>719,166,802</u>
Period ended 30 June 2017						
At start of period	133,540,084	152,450,453	3,665,461	391,195,569	38,315,235	719,166,802
Total comprehensive income for the period	-	-	-	66,493,599	1,244,990	67,738,589
At end of period	<u>133,540,084</u>	<u>152,450,453</u>	<u>3,665,461</u>	<u>457,689,168</u>	<u>39,560,225</u>	<u>786,905,391</u>